

LAW III: Options Have Value

I don't mean the options traded on the Chicago Board of Exchange or other exchanges. I mean looking at securities in terms of their option component.

The simplest example is probably an oil company. It will have two components of value. One is the value of existing properties, which generate cash flows. You can calculate the present value of those cash flows, which will decline as the producing wells give out. The other component of value of an oil stock is the call option you have on the chance that the company will find a major new field. That bit of luck would create new value for stockholders.

The theoretical worth of the company is the sum of the value of existing production and the call option. It is very pleasant to find a stock that can be bought for the value of existing properties, so that the exploration option is free. It is even pleasanter if you can find a stock whose existing properties can be bought for *less* than the value of their present and future cash flows, again getting a free lottery ticket on some new product or other upside potential. An option is basically just that—a lottery ticket—and there's no sense in refusing a lottery ticket if you don't have to pay for it.

Sometimes you are asked to pay a great deal for those options; biotech stocks are a prime example. In a highly speculative market, people pay a great deal of money for the privilege of a claim on future success.

Usually, stocks have some kind of discernible option attached, but in other cases it is negligible, uninteresting, or at least very hard to find. And there are cases where the option seems to be more of a put option than a call option; the option component has a negative value. Tobacco stocks are an example. The cash flow from the cigarette business is stable and valuable, but there is a risk that regulatory or legal action will wreck the business. The stock price can be calculated as the value of the cash flow minus a put option.

Or both a call and a put option may be present. A drug company